

Fearnleys Dry Bulk Weekly

Jan 15, 2025

Bernhard Baardson



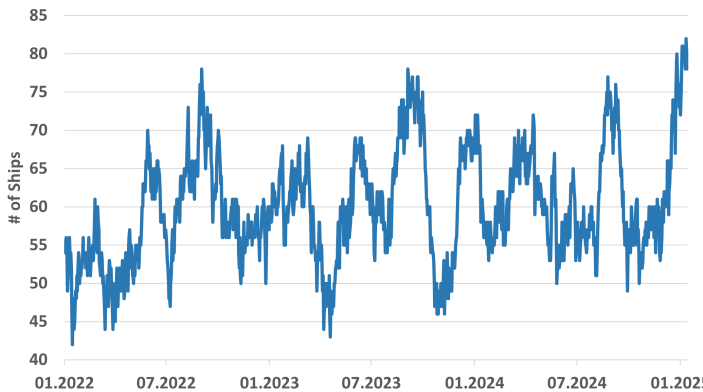
Capesize/Newcastlemax

Last week, we wrote the following: *There are several pointers toward a rebound starting around the middle of February. There is currently a record number of VLOCs sailing toward Brazil, which is a good indication that a Capesize rally will materialize. The previous four times the count was similar to now were in late August last year, early September 2023, and late August 2022. However, most of the vessels are still positioned in the Pacific or Indian Ocean, so it will take time before the vessels have loaded and freed up space for Capes.*

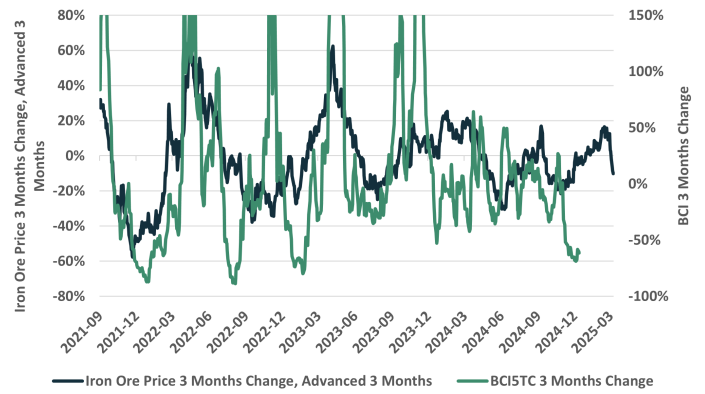
Further, the iron ore price leads shown below indicate a firming market from late Feb and through March.

The situation is still the same with respect to the outlook for Feb/March. However, before that the market is likely to go down. There was some excitement last week but that has faded...

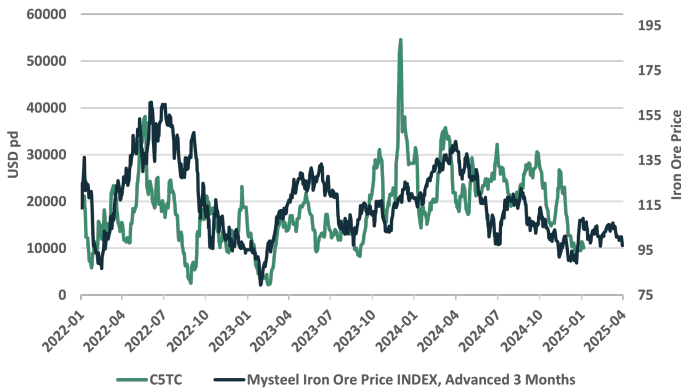
VLOCs Sailing to Brazil



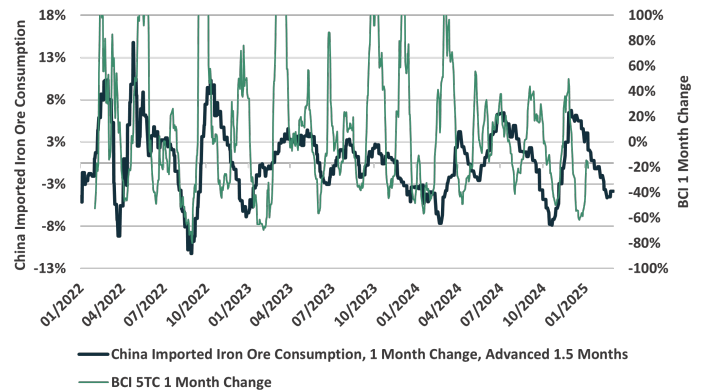
Iron Ore Price 3 Months Change (Lead 3 Months) vs BCI5TC 3 Months Change



Iron Ore Price Lead vs BCI5TC



China Imported Iron Ore Consumption Lead vs BCI5TC 1 Month Change

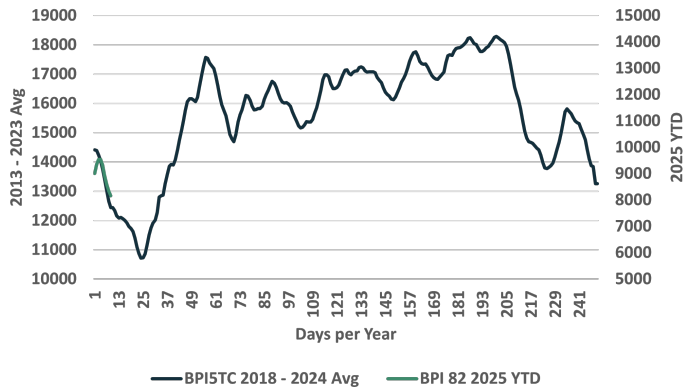


Panamax/Kamsarmax

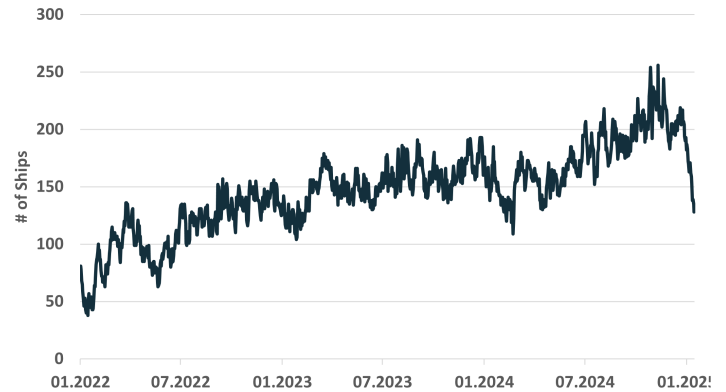
Both the Atlantic and Pacific basins are very weak. We do not expect this to change until after the Chinese New Year which should lead to higher activity in coal trades, and the continued ramp-up of the Argentinian and Brazilian Soybean season. The harvest is progressing slower than last year, but forecasts are for higher volumes.

The AIS data shown below shows that the number of vessels laden with coal heading to China or India has dropped sharply in recent weeks.

Panamax / Kamsarmax Market Seasonality



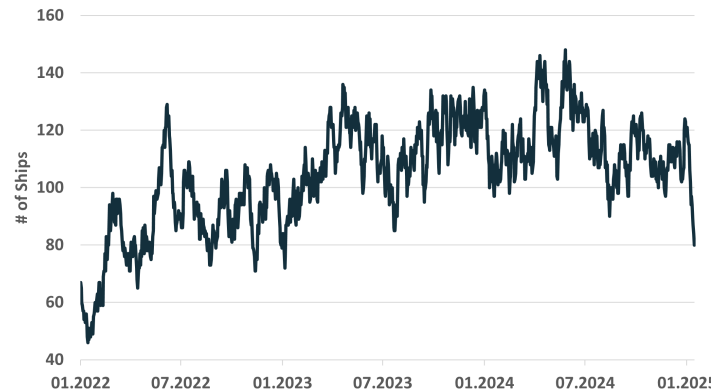
Panamax / Kamsarmax Laden With Coal, Heading to China



Panamax / Kamsarmax Ballasting to Brazil or Argentina



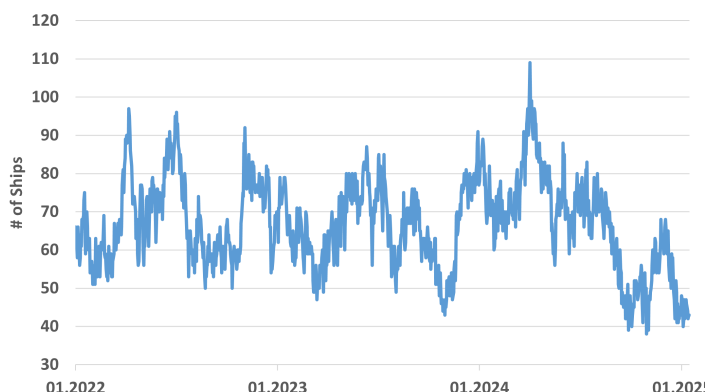
Panamax / Kamsarmax Laden, Heading to India



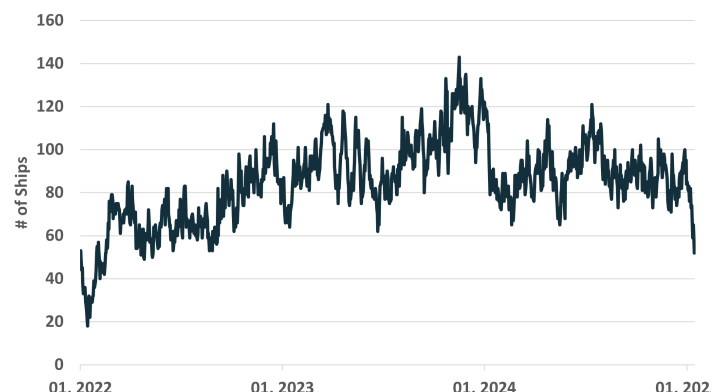
Supramax/Ultramax

The market continues to weaken as seasonality and a weak Kamsarmax market weighs heavily. Weakness is likely to prevail until after the Chinese New Year. Regarding fundamentals, some encouragement for owners can be taken from the fact that industrial metals prices have risen in the last weeks, which indicates that global manufacturing activity is making a slight rebound.

Supramax / Ultramax Heading to Brazil or Argentina

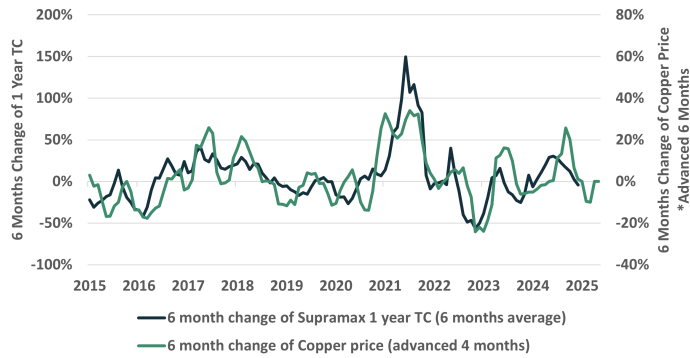


Supramax / Ultramax Laden to China or India With Coal

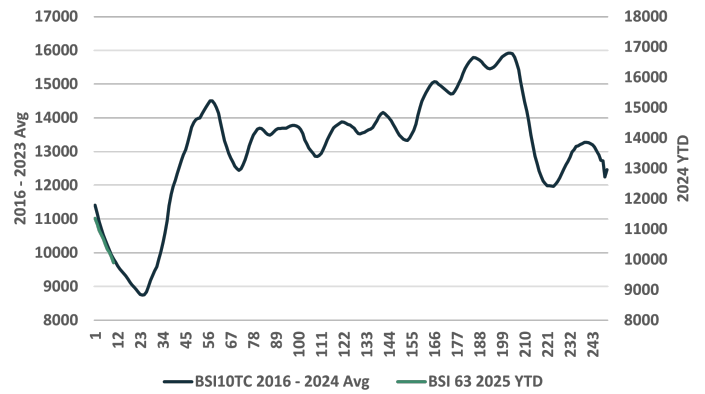




Copper Price Lead vs Supramax 1 Year TC 6 Months Change



Supramax / Ultramax Seasonal Average





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